# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The LGU is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2018, the Municipality of Rizal had a total of 82 personnel complement with 69 permanent, 11 elective and 2 co-terminus.

### Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2018 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

## B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2018 with comparative figures for CY 2017, are as follows:

| | 2018 | 2017 | Increase/Decrease |
|---|---|---|---|
| **Financial Position** | | | |
| Total Assets | 111,578,291.8 | 101,853,144. | 9,725,147.05 |
| Total Liabilities | 32,096,560.93 | 32,233,770.2 | (137,209.34) |
| Total Government Equity | 79,481,730.90 | 69,619,374.5 | 9,862,356.39 |
| **Financial Performance** | | | |
| Total Income | 80,326,615.65 | 73,876,848.9 | 6,449,766.66 |
| Total Expenses | 70,165,079.02 | 62,089,117.3 | 8,075,961.68 |
| **Appropriations,** | | | |
| Total Appropriations- | 78,269,286.00 | 73,121,094.2 | |

| | 2018 | 2017 | Increase/Decrease |
|---|---|---|---|
| Total Obligations | 71,127,743.26 | 62,817,737.0 | 8,310,006.20 |

During the CY 2018, the Municipality of Rizal received a total of P21,125,088.00 from other government agencies and made no fund transfer to any government agency, as follows:

| | 2018 | 2017 | Increase/ |
|---|---|---|---|
| **Funds Received from:** | | | |
| National Government | 21,125,088.00 | 47,768,401.29 | (26,643,313.29) |
| Local Government Units | - | 160,831.21 | (160,831.21) |
| Non-Government | - | - | - |
| Others | - | - | - |
| **Total** | **21,125,088.00** | **47,929,232.50** | **(20,804,144.50)** |

## C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2018 of the Rizal, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

## D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were discussed with the concerned Management officials in an exit conference conducted on April 5, 2019:

1. **Cash advances totaling P4,891,321.66 remained unliquidated at year-end because Management did not strictly enforce the rules and regulations on the grant, utilization, and liquidation of cash advances under COA Circular No. 97-002 dated February 10, 1997.**

   **Moreover, cash advances other than for traveling expenses totaling P1,628,421.00 were granted to officials contrary to the provision of Section 339 of RA 7160 and COA Circular No. 2012-001 dated June 24, 2012.**

   We recommended that the Municipal Accountant issue demand letters to the officials and employees with unliquidated cash advances and demand the immediate settlement thereof; and stop granting another cash advance to officers and employees with unliquidated cash advances. Likewise, the Municipal Accountant should not process the cash advance of officials other than for official travel and stricly comply with provisions of Section 339 of RA 7160 and COA Circular No. 2012-001 dated June 24, 2012.

2. **The accuracy and reliability of the receivable accounts for Real Property Tax and Special Education Tax totalling to P12,065,590.54 could not be ascertained due to the absence of a duly certified list showing the name of taxpayers and the amount due and collectible for the year, contrary to Item 3.26 of conceptual framework for General Purpose Financial Reporting (GPFR) of International Public Sector Accounting Standard (IPSAS) and Section 20 of the NGAS Manual, thus rendering the collection targets unrealizable. Moreover, the Municipality recorded a low collection efficiency of 6% owing to the lack of intensive tax campaigns and non-enforcement of remedies against delinquent taxpayers as provided under Section 254 (a) of R.A. No. 7160 or the Local Government Code.**

   In view of the foregoing, we recommended the following to the Management:

   1. Require the Municipal Treasurer to furnish the Municipal Accountant a duly signed certified list showing the name of taxpayers and the amount due and collectible every beginning of the year for recording purposes;

   2. Instruct the Municipal Accountant to draw a JEV to record the RPT/SET receivables based on the certified list from the Office of the Treasurer and ensure that the recorded receivables are based on actual reference documents; and

   3. Intensify tax collections thru the formulation of strategies to improve collection of real property taxes and encourage the involvement of barangay officials in the tax campaign to reach out to a larger area.

3. **There were no documents or records that support the details of the transaction/s and the rightful names of government agencies pertaining to "Due from National Government Agencies (NGAs)", "Due from Government Owned and/or Controlled Corporations (GOCCs)" and "Due from Local Government Units (LGUs)" accounts totaling to P48,237.99, P2,162,643.29 and P1,916,881.80, respectively, which is contrary to Items 2.14 and 3.26 of conceptual framework for General Purpose Financial Reporting (GPFR) of International Public Sector Accounting Standard (IPSAS). Thus, the propriety, validity and existence of Management's claim cannot be established.**

   We recommended that the Municipal Accountant give utmost priority in analyzing and determining the composition of the long outstanding Receivables. Otherwise, comply with the provisions of COA Circular No. 2016-005 in requesting for the write-off of the long outstanding receivables.

4. **The accuracy and existence of the recorded Property, Plant and Equipment (PPE), with a book value of P67,222,247.35, could not be ascertained due to a discrepancy of P13,619,692.34 between the accounting records and inventory reports, and incomplete inventory report, contrary to Sections 114, 120 and**

**124 of the Manual on the New Government Accounting System for Local Government Units (MNGAS-LGUs).**

We recommended that the Inventory Committee conduct complete periodic physical inventory count of property, plant and equipment by type, which shall be made annually and reported on the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) to be submitted to the office of the COA Auditor not later than January 31 of each year. More so, the Municipal Accountant should maintain Property, Plant & Equipment Ledger Cards (PPELC) for each category of assets. The General Services Officer should properly classify/identify the PPEs thru the maintenance of property cards to ascertain its accuracy and existence and reconcile any difference with that of the records of the Municipal Accountant.

5. **Disbursement vouchers amounting to P1,808,053.96 were not submitted to the Auditor concerned for audit, contrary to Sections 39(1) and 39(3) of Presidential Decree No. 1445 and created doubts on the regularity and propriety of the payments made**

   We recommended that the Municipal Accountant strictly comply with the cited auditing and accounting laws, rules and regulations. We also required the submission of the disbursement vouchers and supporting documents to the Auditor within the prescribed period to avoid suspension/disallowance in audit.

## E. Remittance of GSIS Premium

The LGU complied with the timely remittance of the amount of Social Insurance Fund (SIF) and Employees' Compensation Insurance Fund (ECIF) premium contributions to the Government Service Insurance System (GSIS) in accordance with R.A. 8291. The Due to GSIS account showed a balance of P245,492.05 as of December 31, 2018.

## F. Compliance with tax laws

The LGU complied with the correct withholding and timely remittance of taxes withheld in accordance with tax rules and regulations.

## G. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions, disallowances and charges as of December 31, 2018 is summarized below.

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **S**uspensions | 15,304,278.96 | | | 15,304,278.96 | 0% |
| Disallowances | - | - | - | - | 0% |

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| Charges | - | - | - | - | 0% |
| **Total** | **15,304,278.96** | - | - | **15,304,278.96** | 0% |

## H. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 23 audit recommendations embodied in the 2017 Annual Audit Report, five (5) were implemented, five (5) were partially implemented and 13 were not implemented.